

breakwater construction, capital dredging, and trunk infrastructure. Additionally, modernization and automation of existing shipyards will enhance productivity and efficiency.

Globally, about 89% of shipbuilding happens in China, South Korea and Japan, of which MoPSW has been in deep discussions with the shipbuilders of South Korea and Japan. Leading shipbuilding companies of South Korea and Japan have either already visited India or are in the process of organising this visit to seek opportunities for setting up shipyards in India. Moreover, globally leading shipping players from France, Denmark, etc have also shown keen interest in participating, through various mechanisms, towards boosting domestic shipbuilding & ship repair.

Additionally, the government is putting in focused efforts on skilling and upskilling shipbuilding professionals to ensure a steady supply of trained personnel equipped with modern shipbuilding technologies. The primary goal is to create a self-sufficient maritime industry that caters to both domestic and international demand, reducing India's dependency on foreign-built ships.

Access to Low-Cost, Long-Term Financing: Maritime Development Fund (MDF)

Maritime India Vision 2030 (MIV 2030) and Maritime Amrit Kaal Vision 2047 (MAKV 2047) had proposed the establishment of a dedicated fund to address the long-term financing needs of the maritime sector. The Maritime Development Fund (MDF), recently announced in the Union Budget 2025, will now be operationalized through a structured and phased approach. Key aspects such as the fund's structure, investment strategy, governance, and compliance mechanisms are currently being finalized. MoPSW envisions an initial target corpus of INR 25,000 crore till 2030, with 49% equity investment from the Central Government and 51% from Major Ports, financial institutions, private investors, and sovereign funds.

Additionally, multilateral agencies and international development banks are expected to provide further funding support. To boost the shipbuilding industry further, the budget proposes the inclusion of large ships above a specified size in the Infrastructure Harmonized Master List (HML). MDF aligns with global priorities such as sustainability, decarbonization, and responsible ship recycling. The fund is expected to attract significant capital through co-financing, concessional funding, and blended finance models, ensuring risk-mitigated, long-term returns. This move will provide shipbuilders with easier access to long-term financing and infrastructure status benefits, helping them secure funding on favorable terms and expand production capacity.

Taxation Benefits for Shipbuilding & Shipping

Recognizing the long gestation period of shipbuilding, the budget introduces key tax incentives. The exemption on Basic Customs Duty (BCD) for raw materials, components, consumables, and parts for ship manufacturing will be extended for another ten years, ensuring cost competitiveness for Indian shipbuilders. Similar tax benefits will be extended to encourage sustainability in ship recycling. The continuation of the BCD exemption on shipbuilding materials is set to reduce input costs, enhancing the profitability and global competitiveness of Indian shipyards and ship recycling businesses. With a focus on progressively increasing the localization of shipbuilding, this initiative will serve as a catalyst for boosting domestic production, enhancing capacity utilization, and enabling Indian players to secure more international contracts.

The benefits of the Tonnage Tax Scheme will now be extended to inland vessels registered under the Indian Vessels Act, 2021. This move will boost Inland Water Transport (IWT) by making operations more cost-effective and sustainable. The initiative is expected to attract significant private investments in vessels, terminals, and logistics infrastructure.

IFSC: Strengthening India's Maritime Finance Hub

The budget outlines several measures to enhance the International Financial Services Centre (IFSC) as a global maritime hub. Tax incentives for ship-leasing units, insurance offices, and treasury centers will encourage global businesses to establish their maritime financial operations in IFSC. The deadline to commence operations in IFSC for claiming benefits has been extended by five years, until March 31, 2030. Several tax incentives for ship leasing activities have been proposed, including exemption under Section 10(4H) for capital gains on the transfer of equity shares of a ship-leasing domestic company by a non-resident or an IFSC unit. Additionally, exemption under Section 10(34B) has been proposed for dividends paid by a ship-leasing company in IFSC to another IFSC unit engaged in ship leasing.

The Road Ahead: Reclaiming India's Maritime Supremacy

The series of reforms and policy interventions being implemented today are geared towards transforming India into a global shipbuilding and maritime powerhouse. As India marches towards becoming a USD 32 trillion economy, the shipbuilding industry will serve as a key enabler of economic growth, job creation, and technological advancement. Through continued investments, policy support, and infrastructure development, India is poised to reclaim its maritime supremacy and emerge as a leading hub for shipbuilding and maritime innovation.

The Maritime Amrit Kaal Vision 2047, driven by the Ministry of Ports, Shipping, and Waterways, is setting the foundation for a self-reliant, globally competitive, and future-ready maritime sector. With these strategic initiatives, India is not just revitalizing its past maritime glory but also charting a bold and ambitious course for the future of global shipping and trade.

